

Third Quarter 2021 Financial Results

November 4, 2021



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Forward-looking Statements

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects; future operating or financial performance, future guidance, future operating models; expectations regarding products, product approvals or products under development; expected timing of product launches; the impact of the coronavirus (COVID-19) pandemic and any recovery therefrom on our business, supply chain, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions; future use of cash and dividend payments; tax rates and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2020, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the coronavirus (COVID-19) pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

Non-GAAP Financial Information

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and most directly comparable GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.*

**GAAP refers to U.S. generally accepted accounting principles.*

Kristin Peck

Chief Executive Officer

Key Takeaways

Strong Global Growth Continued in Q3

- Generated 10% operational¹ revenue growth and 10% operational¹ increase in adjusted net income², with the U.S. increasing 7%, and International up 14% operationally
- Companion animal revenue grew 19% operationally, led by sales of Simparica Trio[®] and continued strength across our broader parasiticide portfolio. Key dermatology was again a significant contributor to growth, with quarterly sales exceeding \$300 million dollars for the first time in company history
- The 2% operational decline in livestock was driven by the impact of generic competition for Draxxin[®] and a very challenging prior year comparative period

Improved Guidance for 2021

- Increased range of full year 2021 estimates for revenue and adjusted net income
 - Revenue range increased to \$7.700B and \$7.750B, with operational¹ growth of 14% to 14.5%
 - Adjusted net income range increased to \$2.200B and \$2.225B, with operational¹ growth of 16.5% to 18%
- Our updated guidance reflects better than expected third quarter results and continued confidence in the ability to deliver sustainable future growth

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

Wetteny Joseph

Executive Vice President
and Chief Financial Officer

Income Statement Highlights

	Third Quarter		
	2021*	2020*	Change
Revenue	\$1,990	\$1,786	11%
Reported Net Income	552	479	15%
Reported Diluted Earnings Per Share	\$1.16	\$1.00	16%
Adjusted Net Income ¹	597	524	14%
Adjusted Diluted Earnings Per Share ^{1,2}	\$1.25	\$1.10	14%

* Millions of dollars, except per share data

¹ Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² Adjusted diluted earnings per share increase of 14% includes 4% favorable foreign exchange impact, and operational growth of 10%.

Adjusted Income Statement Highlights

	Third Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,990	\$1,786	11%	1%	10%
Adjusted Cost of Sales ²	583	543	7%	(2)%	9%
<i>as a percent of revenue³</i>	29.3%	30.4%	NA	NA	NA
Adjusted SG&A Expenses ²	496	407	22%	2%	20%
Adjusted R&D Expenses ²	132	112	18%	1%	17%
Adjusted Operating Expenses ⁴	633	525	21%	2%	19%
Effective Tax Rate on Adjusted Income ²	16.7%	20.0%	NA	NA	NA
Adjusted Net Income ²	\$597	\$524	14%	4%	10%

* Millions of dollars, NA – Not applicable

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³ Adjusted gross margin (a non-GAAP financial measure) was 70.7% in the third quarter of 2021 and 69.6% in the third quarter of 2020.

⁴ Adjusted operating expenses (a non-GAAP financial measure) of \$633 million in the third quarter of 2021, and \$525 million in the third quarter of 2020 include adjusted amortization of intangible assets of \$5 million in 3Q21 and \$6 million in 3Q20.

U.S. Segment Performance

	Third Quarter		
	2021*	2020*	Change
Revenue	\$1,065	\$996	7%
Companion Animal	775	664	17%
Livestock	290	332	(13)%
Cost of Sales	199	194	3%
Gross Profit	866	802	8%
<i>Gross Margin</i>	81.3%	80.5%	NA
Operating Expenses	183	157	17%
Other (Income)/Deductions	—	—	**
Earnings ²	683	645	6%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Third Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$904	\$767	18%	4%	14%
Companion Animal	427	331	29%	5%	24%
Livestock	477	436	9%	2%	7%
Cost of Sales	273	245	11%	(1)%	12%
Gross Profit	631	522	21%	5%	16%
<i>Gross Margin</i>	69.8%	68.1%	NA	NA	NA
Operating Expenses	152	122	25%	4%	21%
Other (Income)/Deductions	(4)	—	**	**	**
Earnings ²	483	400	21%	6%	15%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Defined as income before provision for taxes on income.

International Segment Performance

	Third Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Total International	\$903.4	\$766.9	18%	4%	14%
Australia	69.8	59.7	17%	7%	10%
Brazil	78.1	62.2	26%	4%	22%
Canada	55.3	49.7	11%	8%	3%
Chile	32.6	23.4	39%	2%	37%
China	71.5	65.6	9%	8%	1%
France	30.7	29.7	3%	3%	—%
Germany	47.4	38.5	23%	4%	19%
Italy	30.4	27.1	12%	4%	8%
Japan	43.3	39.0	11%	(3)%	14%
Mexico	31.3	25.9	21%	12%	9%
Spain	32.3	30.7	5%	3%	2%
United Kingdom	61.1	44.8	36%	10%	26%
Other Developed Markets	126.4	105.3	20%	5%	15%
Other Emerging Markets	193.2	165.3	17%	(3)%	20%

* Millions of dollars

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

Financial Guidance

Selected Line Items (millions of dollars, except per share amounts)	Full Year 2021
Revenue	\$7,700 to \$7,750
<i>Operational growth</i> ¹	14% to 14.5%
Adjusted cost of sales as a percentage of revenue ²	Approximately 30%
Adjusted SG&A expenses ²	\$1,910 to \$1,940
Adjusted R&D expenses ²	\$500 to \$510
Adjusted interest expense and other (income)/deductions-net ²	Approximately \$240
Effective tax rate on adjusted income ²	Approximately 18.5%
Adjusted diluted EPS ²	\$4.62 to \$4.67
Adjusted net income ²	\$2,200 to \$2,225
<i>Operational growth</i> ^{1,3}	16.5% to 18%
Certain significant items and acquisition-related costs ⁴	\$45 - \$50
Reported diluted EPS	\$4.23 to \$4.29

This guidance reflects foreign exchange rates as of mid-October.

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

² Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions-net are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the

effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³ We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴ Primarily includes certain nonrecurring costs related to acquisitions and other charges.

Q&A

A man and a dog are sitting in a field of tall grass at sunset. The man is wearing a maroon shirt and is hugging the dog from behind. The dog is a light-colored breed, possibly a Weimaraner, and is looking towards the left. The background is a soft-focus landscape with trees and a small white building with a blue roof. The sky is a warm orange color, and the overall scene is bathed in the golden light of the setting sun.

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Appendix



Reconciliation Of Reported Growth To Non-GAAP Financial Measures

	Third quarter ended September 30,				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
<u>Revenue by Product Category</u>					
Parasiticides (small animal)	\$325	\$243	34%	2%	32%
Key Dermatology	321	251	28%	2%	26%
Diagnostics	95	87	9%	2%	7%
Diagnostics (International)	30	24	25%	5%	20%
<u>Revenue by Product</u>					
Simparica Trio	122	50	144%	4%	140%
<u>P&L</u>					
Adjusted operating expenses	633	525	21%	2%	19%
	Nine months ended September 30,				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
<u>Revenue by Product Category</u>					
Diagnostics	\$283	\$216	31%	3%	28%

* Millions of dollars

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

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